

# INTERNAL AUDIT SCENARIOS

Goldman Sachs Global Banking & Markets (GBM) | Audit Analysis and Recommendations

## Executive Summary

This document responds to three internal audit scenarios within the Global Banking & Markets division. Each scenario identifies a control weakness supported by data. The key findings and recommended actions are summarized below.

| Scenario           | Key Finding                                                                                                                | Primary Recommendation                                                              |
|--------------------|----------------------------------------------------------------------------------------------------------------------------|-------------------------------------------------------------------------------------|
| 1. Trade Execution | 7.5% of trades had discrepancies; average execution of 5 seconds against a 3-second standard; estimated loss of \$500,000. | Business Audit of execution controls, supported by a Tech Audit of trading systems. |
| 2. Credit Risk     | NPL ratio rose from 4.5% to 7.5%; mid-sized clients hold about 10% NPLs within their segment.                              | Strengthen post-approval credit monitoring with early warning indicators.           |
| 3. AML Controls    | Only 60% of suspicious transactions reported (standard 90%); 66% AML training coverage (standard 95%).                     | Mandatory case management workflow with escalation, plus full AML training.         |

## Scenario 1: Trade Execution on the Fixed Income Trading Desk

### Background

The audit team found frequent gaps between when trades are ordered and when they are executed, creating potential financial losses and client dissatisfaction.

| Metric                           | Result                                   |
|----------------------------------|------------------------------------------|
| Total trades (past month)        | 2,000                                    |
| Trades with discrepancies        | 150 (7.5%)                               |
| Average execution time           | 5 seconds (industry standard: 3 seconds) |
| Maximum execution time           | 45 seconds                               |
| Estimated total loss from delays | \$500,000                                |
| Average loss per delayed trade   | \$3,333                                  |

### Question 1: Business Audit or Tech Audit?

**Conclusion:** Improving the trade execution process falls primarily under **Business Audit**, with a supporting Tech Audit component.

- **Why Business Audit leads:** The 7.5% discrepancy rate could also arise from deficiencies in the operational workflow that could be causing weaknesses. For instance, manual order handling, unclear escalation procedures, weak supervision, or breaches of best-execution policy may be resulting in gaps and weaknesses on the Fixed Income Trading Desk. The audit should test whether trader procedures are followed and whether discrepancies are reviewed and reported.
- **Why Tech Audit remains involved:** With execution times averaging 5 seconds, with some trades even taking 45 seconds (well above industry standards), the symptoms could indicate the root cause being the order management system latency, trading platform or network performance, or some other technical deficiencies. Reviewing system performance, change management and IT controls falls under Tech Audit work.
- **Practical approach:** Run a Tech Audit to identify the technical root cause and a Business Audit to assess the surrounding controls. The team that identifies the root cause leads remediation.

### Question 2: Benefits to the Desk and Its Clients

- **Lower financial losses:** Faster execution and fewer discrepancies directly reduce the estimated \$500,000 monthly loss.
- **Better prices for clients:** Fixed income prices move quickly, so faster execution keeps fills closer to quoted prices and supports best-execution obligations.
- **Client trust and retention:** Fewer errors and delays reduce complaints and the risk of clients moving to competitors.
- **Competitive standing:** Closing the gap to the 3-second benchmark keeps the desk in line with competitors.
- **Regulatory and operational benefits:** Accurate records and fewer discrepancies reduce regulatory exposure and time spent investigating and correcting trades.

## Scenario 2: Credit Risk Assessment for Corporate Lending

### Background

The audit team identified potential weaknesses in credit risk assessment and monitoring for corporate lending, following an increase in non-performing loans (NPLs) among mid-sized corporate clients.

| Metric                                     | Result                                   |
|--------------------------------------------|------------------------------------------|
| Total corporate loans                      | \$2 billion                              |
| Non-performing loans                       | \$150 million (7.5%)                     |
| NPL ratio: last year vs. this year         | 4.5% vs. 7.5%                            |
| Mid-sized companies (revenue \$50M-\$500M) | 60% of total loans (about \$1.2 billion) |
| Share of NPLs from mid-sized segment       | 80% (about \$120 million)                |
| Average credit score, mid-sized companies  | 600 (low-risk standard: 700)             |

### Question 1: Post-Approval Process to Strengthen

**Conclusion:** Ongoing credit monitoring after loan approval is the main gap.

Loans to mid-sized companies are being approved but not monitored closely enough, so deterioration is not detected until the loan becomes non-performing. Recommended improvements:

- Set up early warning indicators such as covenant breaches, late payments, falling revenue and credit score declines.
- Review higher-risk accounts at regular interval on a defined schedule, for example quarterly.
- Require regular financial reporting from borrowers.
- Define escalation and restructuring steps for accounts showing stress, so action is taken before default.

### Question 2: Benefits to the GBM Division and Its Clients

- **Lower credit losses:** Reducing the NPL ratio from 7.5% toward last year's 4.5% would lower provisions and write-offs, improving profitability and capital efficiency.
- **Better portfolio quality:** Sound assessment supports better decisions on who to lend to and how to price and structure loans.
- **Support for clients:** Early detection allows the bank to work with struggling clients on restructuring before default, helping them survive.
- **Regulatory strength:** A healthier portfolio and stronger risk governance reduce regulatory pressure and capital requirements.
- **Stable lending capacity:** Fewer losses allow the division to keep lending to creditworthy mid-sized businesses.

## Scenario 3: Anti-Money Laundering (AML) Controls

### Background

The audit team identified compliance risks arising from lapses in AML transaction monitoring and reporting, which could result in regulatory penalties. Previous audits noted the same lapses, with no significant improvement.

| Metric                             | Result             | Industry Standard |
|------------------------------------|--------------------|-------------------|
| Transactions reviewed              | 10,000             | -                 |
| Suspicious transactions identified | 50 (0.5%)          | -                 |
| Suspicious transactions reported   | 30 (60%)           | 90%               |
| Employees trained on AML           | 800 of 1,200 (66%) | 95%               |

### Question 1: Weakness and Improvement

**Weakness:** Suspicious transactions are identified but not reliably reported. Only 30 of the 50 flagged transactions (60%) were reported, against a 90% standard, leaving 20 unreported cases that are each a potential regulatory breach. The gap is likely worsened by training coverage of 66% against a 95% standard.

**Recommended improvement:** Introduce a mandatory case management workflow with escalation and sign-off.

- Log, investigate and document an outcome for every alert (reported, or closed with reasons).
- Escalate unresolved alerts automatically to the compliance officer after a set number of days.
- Have the compliance officer review all alerts closed without a report.
- Track the reporting rate as a KPI with a target of at least 90%.
- Complete AML training for all remaining staff, starting with those who handle transactions, and make completion mandatory. Incorporate enforcement policies and procedures for those not in compliance with mandatory training requirements.

### Question 2: Benefits to the GBM Division and Its Clients

- **Avoiding penalties:** Better reporting and training reduce the risk of fines, enforcement action and license restrictions, particularly as previous findings remain unresolved.
- **Reputation:** Strong AML controls protect the division's standing with regulators, counterparties and clients.
- **Client protection:** Clients benefit from a bank that is less likely to be used for financial crime and from fewer disruptions such as account freezes or de-risking.

- **Better detection:** Trained staff and a consistent workflow identify suspicious activity earlier and more accurately.
- **Stronger governance:** Closing repeat audit findings shows management is responding to issues, building regulator and board confidence.